Business Management for IT (IT3090)

Managing People (Lesson 3 - Part 1)



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LEARNING OUTCOMES

At the end of the lecture, students should be able to;

- ❑ **Understand the basic concepts of Human Resource Management (HRM)**
- ❑ **Define HRM**
- ❑ **Provide an overview of functions of HRM**
- ❑ **Understand the significance of human resource**





WHAT IS HRM?

- ❑ What is Management?
- ❑ What are the resources available in an enterprise?
- ❑ What is Human Resource?

❑ What is Management?

Management is the process of **planning, organizing, leading,** and **controlling** the efforts of **organization members** and of using all **other organizational resources efficiently and effectively** to **achieve organizational goals.**

❑ **What are the resources available in an enterprise?**

- **Financial Resources**
- **Physical Resources**
- **Intellectual Resources**
- **Human Resource**

- **Financial Resources**

  This consists of cash, credit, and all money related aspects. It is often hailed as the most important component while starting a business as this is where the funding comes from.



- **Physical Resources**

  These are considered as tangible assets which the organization uses to create value offering and value proposition to its customers.

  E.g. Equipment, Buildings, Inventory, the Manufacturing plant and distribution network which are extremely crucial for the business to function properly.



- **Intellectual Resources**

  These are the types of business resources which are nonphysical and intangible in nature.

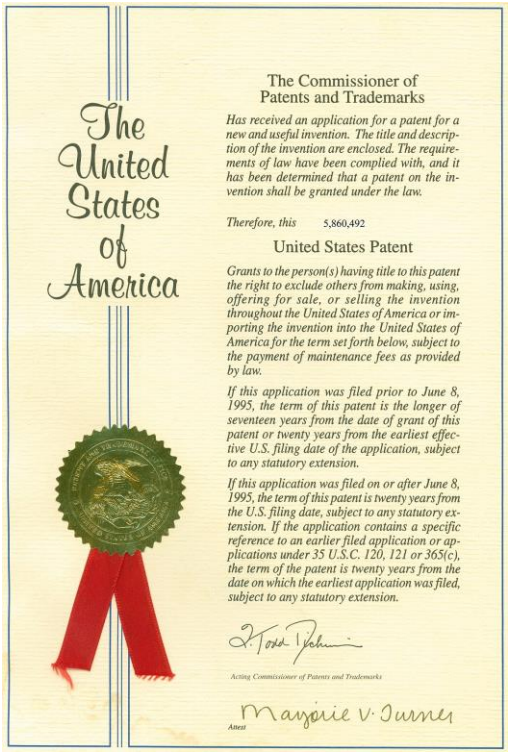
  E.g. patents of the product, brands of the organization, copyright over important materials, customer data and customer knowledge



• Intellectual Resources ctnd..

Patents

- Innovative companies like Apple often file for patents for their innovative products.
- The patent is also another important factor in the pharmaceutical industry where the companies have to file a patent for a particular medicine as soon as it is developed.
- Since 2000 a number of patents filed by Google grew by 170 % you as that of Apple grew by 60% in the same time period. Hence patents are seen as major business driver and growth driver for the organizations.


The United States of America

The Commissioner of Patents and Trademarks

Has received an application for a patent for a new and useful invention. The title and description of the invention are enclosed. The requirements of law have been complied with, and it has been determined that a patent on the invention shall be granted under the law.

Therefore, this 5,860,492

United States Patent

Grants to the person(s) having title to this patent the right to exclude others from making, using, offering for sale, or selling the invention throughout the United States of America or importing the invention into the United States of America for the term set forth below, subject to the payment of maintenance fees as provided by law.

If this application was filed prior to June 8, 1995, the term of this patent is the longer of seventeen years from the date of grant of this patent or twenty years from the earliest effective U.S. filing date of the application, subject to any statutory extension.

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Attest



- # Human Resources

Employees are important for the functioning of any organization without which the activities of an organization will come to a standstill.

Human resources are even more important in the industries which provide services since a great deal of creativity and knowledge is required in those domains.



Employees as a resource

- Is being developed over the time and experience
- Not depreciated, but, being a continuously developing asset
- Has the ability of creativity and innovation
- Makes decisions in respect of all other resources
- Something valuable, really hard to quantify the exact value
- Something to be developed
- Something to be compensated
- Something to be carefully managed
- Something to be carefully maintained and retained
- Something, really needed to sustain the competitiveness

Other resources make things possible but only human resources make things happen.



WHY DOES HRM IMPORTANT TO ALL MANAGERS

- ❑ The losses due to hire the wrong person for the job
- ❑ Experience high turn over
- ❑ People not doing their best
- ❑ Waste time with useless interviews
- ❑ Legal responsibility




SHRM
SOCIETY FOR HUMAN RESOURCE MANAGEMENT
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SHRM
SOCIETY FOR HUMAN RESOURCE MANAGEMENT



Efficient and **effective utilization** of **human resource** to **achieve** **goals** of an **organization**

Simple Definition

HRM is the **effective** management of people at work

HRM examines what can or should be done to make people more productive and satisfied.

If the human resource is mismanaged or neglected, organizations would not be able to achieve their goals as expected.



An organization?

A collection of people works together for achievement of common goals.

Efficiency?

A productivity metric

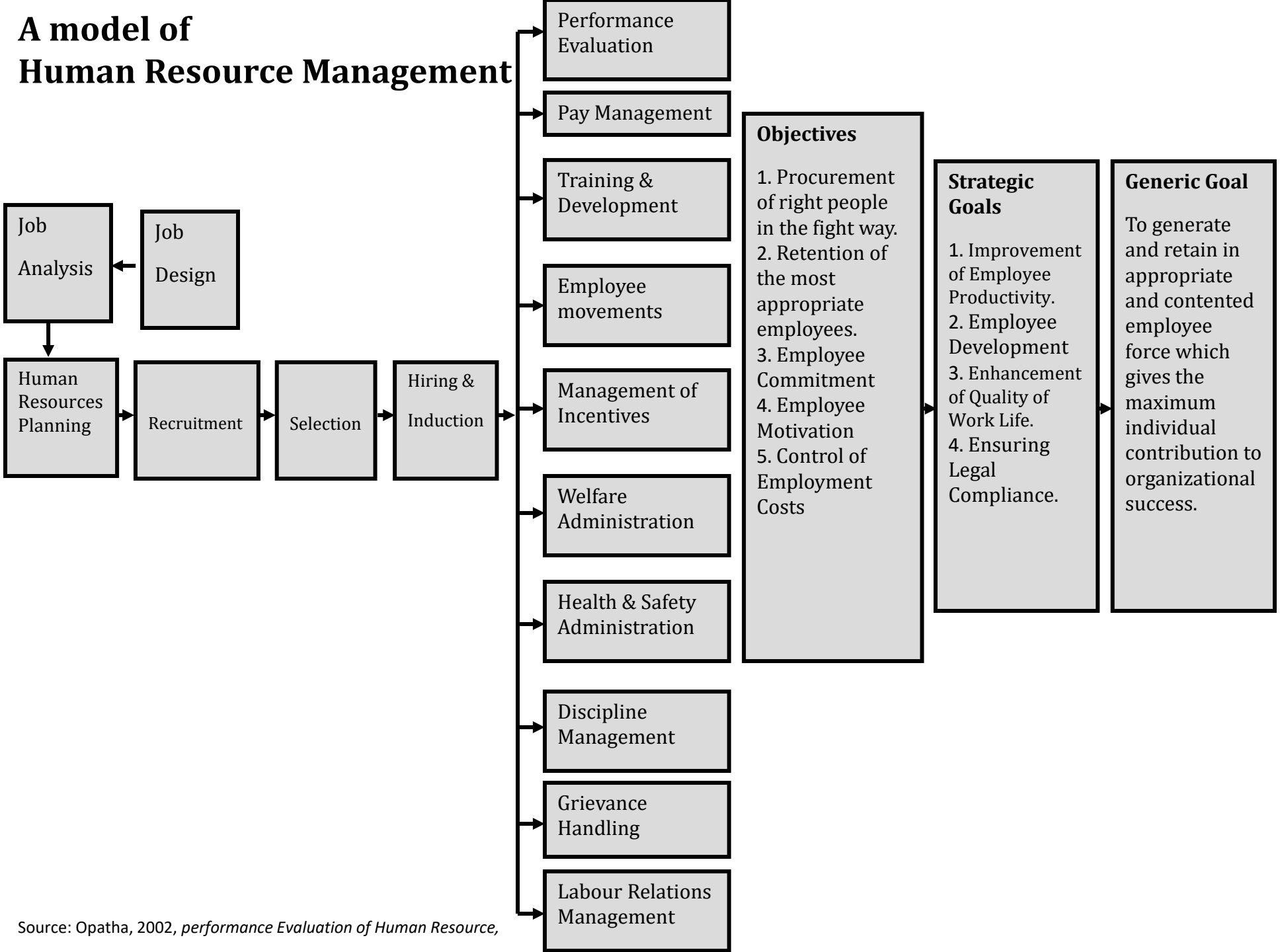
- Describes how fast a person/ product can do something
- Optimum use of HR by minimizing wastage
- Comparison of number of employees and cost
- Utilize the right people in the right number with the right cost at the right job

Effectiveness?

A quality metric

- Describes how good a person/ product considering what he or the product is expected to be
- Employees who demonstrate effectiveness in the workplace help produce high-quality results

A model of Human Resource Management



Source: Opatha, 2002, *performance Evaluation of Human Resource,*

Job design

- Concerned with changing, modifying and enriching jobs in order to capture the talents of employees while improving organization performance

- The way that a set of tasks, or an entire job is organized

Job Analysis

- Job analysis involves the evaluation and analysis of a job, in terms of the **tasks, responsibilities, skills, tools, knowledge and expertise** required to fulfill the job requirement successfully

- These factors help determine the demands of the specific job and the skills and abilities that the employee must possess in order to complete the job successfully. Job analysis aids in creating job descriptions, selecting and recruiting employees, training and development, conducting performance evaluations, etc

HR Planning

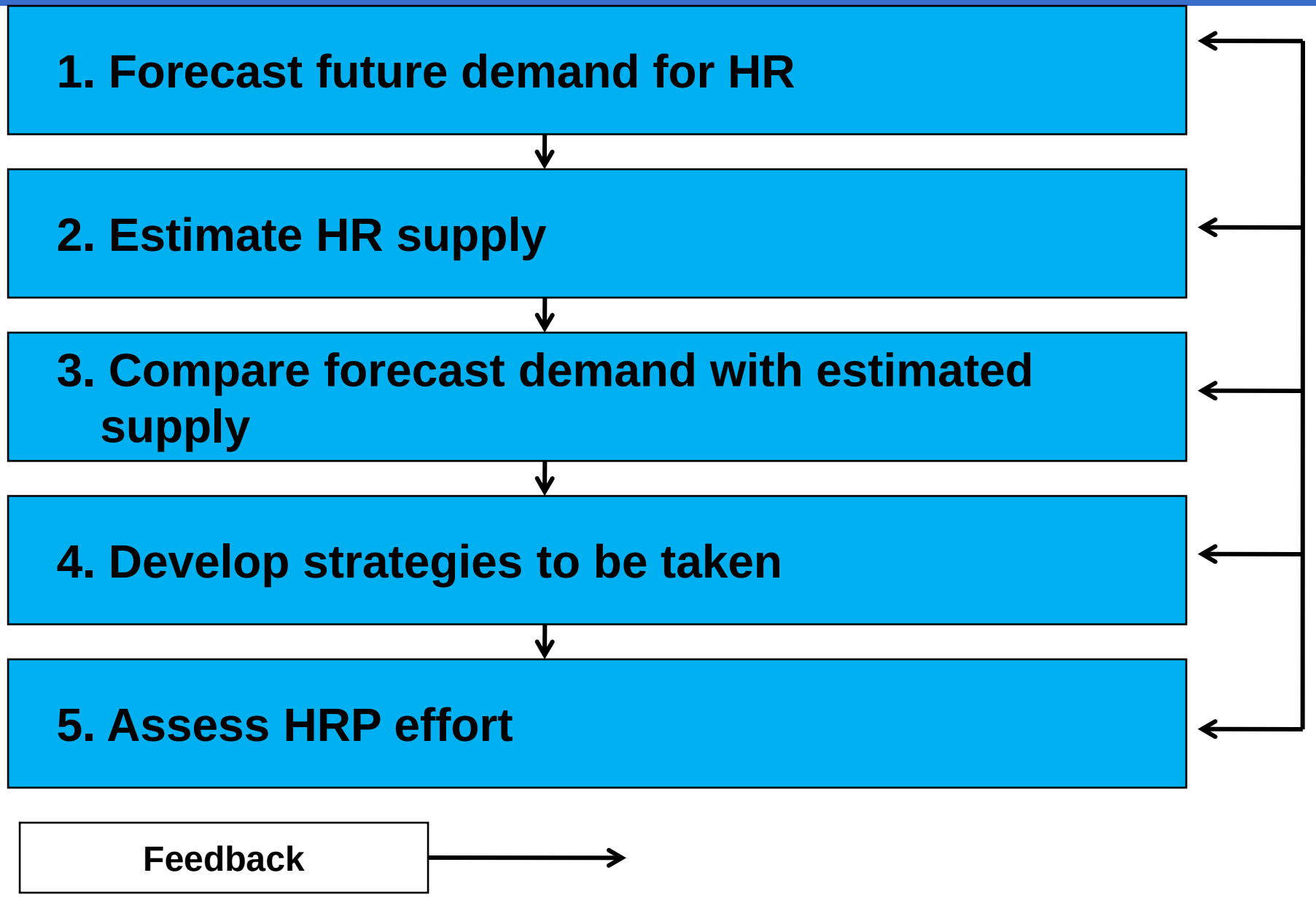


Human Resources Planning

- HRP is the “process of **determining future employee needs** and **deciding steps or strategies to achieve those needs** for the purpose of accomplishing organization goals and objectives”

- HRP is the “process of **assessing the organization’s human resource needs** in the light of organizational goals and **making plans** to ensure that a competent, stable workforce is employed”

HRP Process


1. Forecast future demand for HR
2. Estimate HR supply
3. Compare forecast demand with estimated supply
4. Develop strategies to be taken
5. Assess HRP effort
Feedback

Demand Forecasting

- Demand forecasting is the process of **estimating the future numbers of** people required and the **likely skills and competences they will need.**

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Forecasting supply of human resources

- Supply forecasting measures the number of people likely to be available from within and outside the organization, having allowed for attrition (labor wastage and retirements), absenteeism, internal movements and promotions, and changes in hours and other conditions of work.

- Supply of inside candidates (internal supply)

- Supply of external candidates (external supply)

Strategies in surplus conditions of HR

- Freeze hiring
- Attrition (voluntary departure)
- Early retirement on voluntary basis
- Reduction of reward expenditure
- Lay off
- Termination

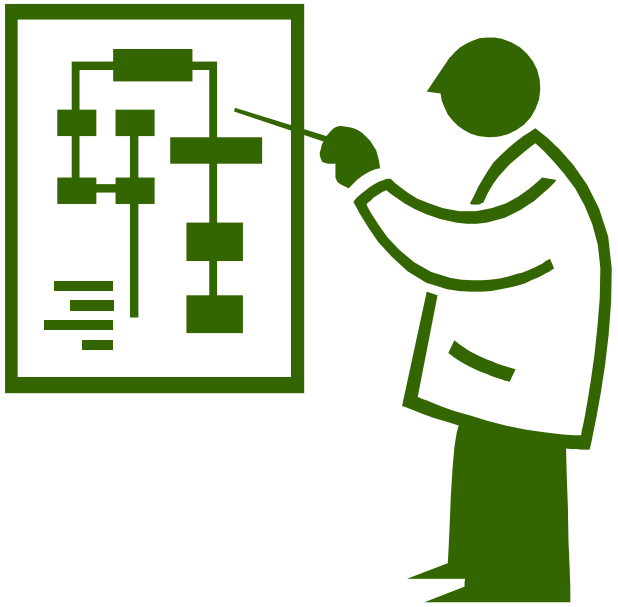
Strategies in shortage conditions of HR

- Have current employees work overtime
- Subcontract work to other firms
- Provide opportunities for learners for a period of time
- Hire part-time employees
- Hire casual employees
- Hire temporary employees
- Hire permanent full-time employees

HRP Considerations

Balancing supply and demand





Recruitment



Recruitment

- Recruitment is **the process** whereby **an organization communicates opportunities and information to the labour market** in order **to attract the quantity and quality of potential employees** it requires **to fulfil its human resource plan**

- Recruitment is the part of the human resourcing process concerned with **finding the applicants: it is a positive action by management, going into the labour market, communicating opportunities and information and encouraging applications from suitable candidates**



How to Recruit

Internal Recruitment

- Simple word of mouth
- Job Postings and bidding
- Newsletters
- Succession Planning
  Eg: Promotion
- Skills inventories
- Intranet

External Recruitment

- Advertising
- Employment Agencies

- Govt. Employment exchange

- Private agencies

- Head hunters
- Campus
- Referrals
- Internet / e- recruitment
- Past employees

Selection



Selection

- Selection is the process of making the choice of the **most appropriate** person from the **pool of applicants** recruited to fill the relevant job vacancy

- Determining applicants who have the highest capability to produce the desired job performance occurs in selection

- It involves the use of one or more methods to assess candidates in order to make a decision as to their suitability to perform duties and responsibilities of the job successfully



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Selection

- There is a difference between “the most appropriate person” and “the most qualified person”. The most appropriate person from a pool of job may be the most qualified person or not.

- The selection systematically attempts to choose the person who suits best with the job/ person specification relevant to the job vacancy.



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Steps in Selection Process

- Screening of applications
- Tests
- Interviews
- Reference Checks
- Medical Examination



Selection

Performance Appraisal



Performance Appraisal Definition

A systematic way of reviewing and assessing the performance of an employee during a given period of time and planning for his future.

Performance appraisal programs are most helpful tools an organization can use to maintain and enhance productivity and facilitate progress towards strategic goals.

Objectives of Performance Appraisals

- Help employees and supervisors do their jobs better
- Improve communications and trust
- Provide people with clear direction
- Identify performance problems early
- Reinforce good performance
- Make process fairer; people are more likely to accept

Appraisal Method

→ Behavior Appraisals

- Assesses how workers perform their jobs—the actual actions and behaviors that exhibit on the job
- Focuses on what a worker does right and wrong and provides good feedback for employees to change their behaviors

→ Results appraisals

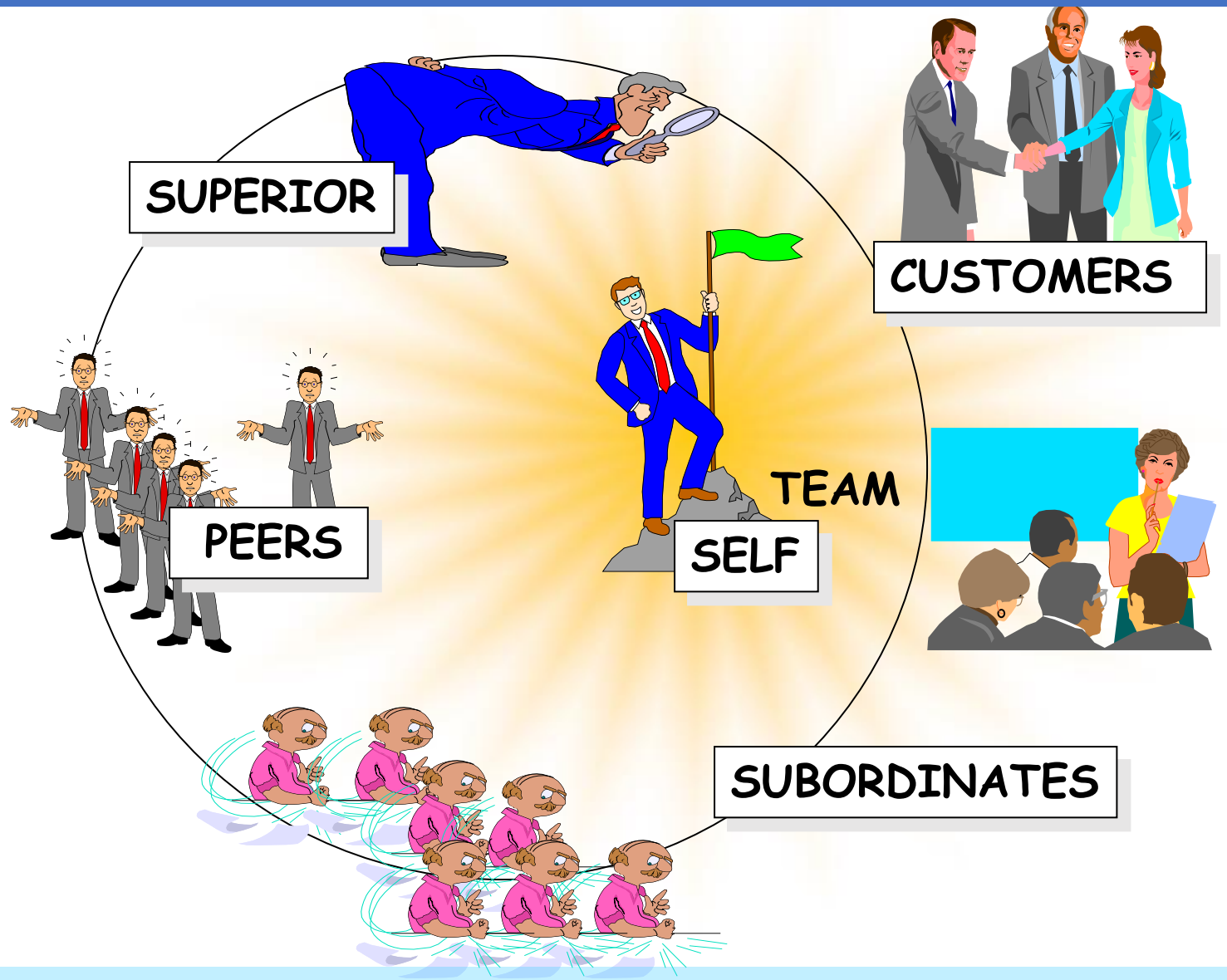
- Managers appraise performance by the results or the actual outcomes of work behaviors

Appraisal Method

→ Trait Appraisals

- Assessing subordinates on personal characteristics that are relevant to job performance.

360 degree PE





Thank you